closely. The second rule means something more than a mere scanning of his list of commitments and calculation of the paper profit or loss that they show. It means that the speculator should seek so far as possible to re-analyze each commitment from a detached standpoint. Psychologically this is a very difficult thing to do, to consider dispassionately a venture in which he has already risked his funds. Nevertheless, the speculator should make a determined effort to do just this. If he has 100 shares of a given stock, for example, which is selling at 90, he should disregard entirely the price that he paid for it and ask himself this question: "If I had $9000 cash today with which to purchase some security, would I choose that stock in preference to every one of the thousands of other securities available to me?" If the answer is strongly in the negative, he should sell the stock. It should make not the slightest difference in this connection whether the stock cost 50 or 130. That is a fact which is entirely beside the point, though the average individual will give it considerable weight.

Patience Essential

It is not suggested that the speculator undertake this process of re-analysis much more frequently than once in six months. If he tries to do it oftener, he is likely to fall into the evil and usually fatal habit of frequently switching his commitments. One of the essential qualifications of the successful speculator is patience. It may take years for the market in a given stock to reflect in any large degree the values which are being accumulated behind it. Twenty years of plowing earnings back into property were followed in the case of the Southern Railway by an advance in its common stock from 25 to 120 within two years. Careful analysis may detect values far in excess of market price behind a given stock. The market may not reflect these values until the combination of